BAP No. 11-6012

UNITED STATES BANKRUPTCY APPELLATE PANEL FOR THE EIGHTH CIRCUIT

IN RE MICHAEL JAMES FISETTE,
Debtor.

v.

MICHAEL JAMES FISETTE,
Debtor-Appellant,

v.

JASMINE Z. KELLER,
Trustee-Appellee.

On Appeal from the United States Bankruptcy Court for the District of Minnesota, Bankruptcy Case No. 10-32295-DDO

BRIEF OF APPELLANT, MICHAEL JAMES FISETTE

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Not stated in the filed brief

CERTIFICATION OF INTERESTED PARTIES

BAP No. 11-6012

The undersigned, counsel of record for Appellant Michael Fisette, certifies that the following listed party (or parties) has (have) an interest in the outcome of this appeal. These representations are made to enable the judges of the panel to evaluate possible disqualification or recusal.

- Bank of America Home Loans, First Mortgage Holder, PO Box 5170, Simi Valley, CA 93062-5170
- BAC Home Loans Servicing, LP, Third Mortgage Holder, Mail Stop: CA6-919-01-23, 400 National Way, Simi Valley, CA 93065
- Principal Bank, Second Mortgage Holder, PO Box 587, Des Moines, IA 50304

/s/ Craig W. Andresen
Attorney for Appellant Michael Fisette
Dated: April 7, 2011

CERTIFICATION OF RELATED CASES

None stated in the filed brief.

/s/ Craig W. Andresen
Attorney for Appellant Michael Fisette
Dated: April 7, 2011

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JURISDICTIONAL STATEMENT

The bankruptcy court had jurisdiction under 28 U.S.C. §§ 157(a) and (b), and 1334(a), to issue its order dated December 9, 2010, denying confirmation of Michael Fisette's originally filed chapter 13 plan, and to issue its order dated February 10, 2011, confirming Mr. Fisette's modified chapter 13 plan. Mr. Fisette appeals to this court from the order of the bankruptcy court confirming his chapter 13 plan, which order was issued February 10, 2011. That order was a final order. In re Zahn, 526 F.3d 1140 (8th Cir. 2008). Mr. Fisette filed a Notice of Appeal on February 21, 2011, which is timely under 28 U.S.C. sections 158(a) and (c)(2) and Rule 8002, Federal Rules of Bankruptcy Procedure. This court has appellate jurisdiction under 28 U.S.C. sections 158(a)(1) and (b).

STATEMENT OF ISSUES ON APPEAL

There are two issues on appeal:

First, whether a chapter 13 debtor may avoid, or "strip," a wholly unsecured junior mortgage upon real estate which is the debtor's principal residence.

Second, may a chapter 13 debtor avoid, or "strip," a wholly unsecured junior mortgage upon real estate which is the debtor's principal residence, in a chapter 13 case in which the debtor is ineligible for a discharge by reason of having obtained a discharge in a chapter 7 case commenced within the four years preceding the date of the filing of the chapter 13 proceeding, pursuant to section 1328(f).

STANDARD OF REVIEW

A bankruptcy court's findings of facts are reviewed for clear error and its conclusions of law are reviewed de novo. In re Litzinger, 332 B.R. 108, 112 (8th Cir. BAP 2005). In this case, the bankruptcy court's interpretation of 11 U.S.C. section 1322(b)(2), and 11 U.S.C. section 1325(a)(5)(B)(i)(I), are conclusions of law subject to de novo review.

STATEMENT OF THE CASE

Mr. Fisette filed a voluntary chapter 13 case on April 1, 2010. [Docket Entry No. 1]. Mr. Fisette's originally filed chapter 13 plan, dated April 12, 2010, provided that the first mortgage upon his homestead real estate held by BAC Home Loans in the amount of approximately $176,312.00, would remain as a secured claim, and that he would pay the regular monthly mortgage payments as they came due directly to BAC Home Loans. The plan also provided that the second mortgage held by Principal Bank in the amount of approximately $89,914.00 and the third mortgage held by BAC Home Loans Servicing in the amount of approximately $48,552.00 would be avoided, or "stripped," pursuant to 11 U.S.C. section 506, due to the homestead's fair market value being $145,000.00. [Chapter 13 Plan, No. 9, Page 2-3.].

A confirmation hearing was held on December 9, 2010, before the Honorable Dennis D. O'Brien. The court expressed its belief the debtor was not

permitted to strip a wholly unsecured second or third mortgage secured by a lien on the debtor's homestead. [Transcript, No. 50, Page 6, Lines 3-7.] The court also expressed skepticism that it was appropriate for a chapter 13 plan to strip junior mortgages where the debtor was not eligible for a discharge in the chapter 13 case. [Transcript, No. 50, Pages 10-12.] Although the bankruptcy court's Order dated December 9, 2010, does not specify the reasons for denial of confirmation, the transcript of the proceedings had on December 9, 2010, makes clear that the reasons for the denial of confirmation for were twofold: first, that avoidance of an unsecured junior mortgage was not allowable in Minnesota due to lack of Eighth Circuit precedent, [Transcript, No. 50, Page 6, Lines 3-7.] and second, an unsecured junior mortgage could not be avoided unless a discharge was available to the debtor. [Order Denying Confirmation of Chapter 13 Plan, No. 26.] [Transcript, No. 50, Page 12, Lines 5-6.]

Mr. Fisette timely filed a Notice of Appeal, on December 22, 2010, and a Motion for Leave to Appeal, on December 22, 2010. [Notice of Appeal, No. 33.] [Motion for Leave to Appeal, No. 32.] This motion for leave to appeal was denied without hearing. [Judgment on Appeal, No. 38.]

On January 4, 2011, Mr. Fisette filed a modified chapter 13 plan dated January 4, 2011. [Modified Chapter 13 Plan, No. 40.] On January 31, 2011, the debtor filed a "Notice of Motion and Motion Objecting to Chapter 13 Plan."

[Objection to Chapter 13 Plan, No. 42.] In this motion, Mr. Fisette explained that due to the bankruptcy court's denial of confirmation of his original lien stripping chapter 13 plan, and due to the action of the Bankruptcy Appellate Panel in refusing to consider his appeal from that order, he felt he had no choice but to propose a modified chapter 13 plan which did not propose to strip either the second or third mortgages from his homestead real estate. [Objection to Chapter 13 Plan, No. 42.]

The debtor's attorney appeared for the confirmation hearing on February 10, 2011, regarding the modified plan. He argued that Mr. Fisette should not have had to propose the modified chapter 13 plan, which did not provide for wholly unsecured junior mortgage lien stripping. The bankruptcy court stated that it understood the reasons why the debtor felt compelled to propose such a modified chapter 13 plan, and that the modified plan would be confirmed. [Transcript, No. 51, Page 5.] Accordingly, the bankruptcy court ordered that the modified chapter 13 plan be confirmed. [Order Confirming Chapter 13 Plan, No. 44.]

Because the debtor was aggrieved by the order confirming the modified chapter 13 plan, as the plan contains no second or third mortgage lien stripping provisions, the debtor timely filed a Notice of Appeal to this court on February 21, 2011. [Notice of Appeal, No. 46.] See In re Zahn, 526 F.3d 1140 (8th Cir. 2008).

SUMMARY OF ARGUMENT

Reversal of the bankruptcy court in this case is mandated by the plain language of the bankruptcy code and the Supreme Court's decision in Nobelman v. American Sav. Bank, 508 U.S. 324 (1993). The bankruptcy court denied confirmation of Mr. Fisette's originally filed chapter 13 plan because, according to the court, 11 U.S.C. §1322(b)(2) prevents a chapter 13 debtor from avoiding a wholly unsecured junior mortgage upon real estate which is the debtor's principal residence. This position in unsupported by the statute or Nobelman.

The Supreme Court stated that in determining whether a home mortgage secured claim is entitled to protection from modification under section 1322(b)(2) a court must first look to section 506(a) for a determination of the claim's secured and unsecured components. If the lien is supported by at least some value, the lien holder is the "holder of a secured claim" under the bankruptcy code, and its claim may be entitled to protection under section 1322(b)(2). On the other hand, if the lien has no true economic value based on the underlying collateral, and is therefore totally unsecured, then the exception does not come into play and the claim may be modified. Under Nobelman, the mortgage creditors here do not have "allowed secured claims" and are, therefore, not entitled to protection under the anti-modification provision of section 1322(b)(2).

Here, the bankruptcy court implicitly rejects the application of 506(a) to determine the secured or unsecured status of the lien. Instead, the court relies merely on the existence of a lien to find the mortgage creditor is protected by the anti-modification provision of section 1322(b)(2). The vast majority of courts, including seven Circuit Courts of Appeals, two Bankruptcy Appellate Panels, and bankruptcy courts from all districts in the Eighth Circuit except for Minnesota, have rejected the position espoused by the court in this case.

Second, in denying confirmation of Mr. Fisette's originally proposed chapter 13 plan, the bankruptcy court questioned Mr. Fisette's ability to strip off the third mortgage because he was ineligible for discharge pursuant to section 1328(f). However, a discharge is not a prerequisite to stripping off a wholly unsecured lien in chapter 13. Cases holding otherwise rest on a weak foundation that cannot support the requirement that a chapter 13 discharge is necessary to avoid a valueless lien. Further, section 1325(a)(5) has no applicability in cases such as this where the mortgage creditors do not hold "allowed secured claims" as determined by Nobelman. Lastly, allowing a debtor to strip off a lien that is secured in name only and that is not supported by any true economic value is not unfair to junior mortgagees.

ARGUMENT

I. The right to modify secured claims in chapter 13 is universally accepted, and that right, combined with claim bifurcation, permits debtors to strip off wholly unsecured mortgages.

Since the bankruptcy code was enacted in 1978, debtors' ability to modify creditors' rights in chapter 13 has been explicit and broad. The plain language of section 1322(b)(2) permits debtors to "modify the rights of holders of secured claims…or holders of unsecured claims, or leave unaffected the rights of holders of any class of claims." In creating this section of the Code, Congress made a definitive and significant departure from the former Chapter XIII of the Bankruptcy Act of 1898, which gave debtors no effective way for dealing with secured creditors.[1]

This ability to modify creditors' rights in chapter 13 is constrained by a limited exception for claims only secured by a security interest in real property that is the debtor's principal residence. 11 U.S.C. § 1322(b)(2). This special protection for residential mortgages applies only if the creditor has an "allowed secured claim" as determined by section 506(a). See Nobelman v. American Sav. Bank, 508 U.S. 324 (1993). The rights protected by anti-modification provision of section 1322(b)(2) include the "right to repayment of the principal in monthly installments

[1] Under Chapter XIII of the Bankruptcy Act of 1898, a repayment plan could not be approved unless every secured creditor that would receive payments in the plan consented to it. See Bankruptcy Act of 1898, §§ 651–52, 11 U.S.C. §§ 1051–52 (1976).

over a fixed term at specified adjustable rates of interest, the right to retain the lien until the debt is paid off, the right to accelerate the loan upon default and to proceed against [debtor's] residence by foreclosure and public sale, and the right to bring an action to recover any deficiency remaining after foreclosure." Nobelman, 508 U.S. at 329. Conversely, absent special protection, section 1322(b)(2) permits a debtor to modify any of the listed rights. Thus, chapter 13 explicitly allows debtors to modify the rights of junior mortgage holders, including avoiding the lien attached to the collateral, if the anti-modification provision of section 1322(b)(2) does not apply.

II. The debtor's ability to strip off a wholly unsecured lien is supported by the plain language of the bankruptcy code, the Supreme Court's decision in the Nobelman case, and the overwhelming majority of relevant case law.

Seven Circuit Courts of Appeals have directly addressed the first question presented in this case, and all seven have ruled that a completely unsecured mortgage, such as those at issue in this case, may be modified in a chapter 13 plan. In re Zimmer, 313 F.3d 1220 (9th Cir. 2002); In re Lane, 280 F.3d 663 (6th Cir. 2002); In re Pond, 252 F.3d 122 (2d Cir. 2001); In re Tanner, 217 F.3d 1357 (11th Cir. 2000); In re Bartee, 212 F.3d 277 (5th Cir. 2000); In re McDonald, 205 F.3d 606 (3d Cir. 2000); see also Suntrust v. Millard, 2010 WL 5158561 (4th Cir. Dec. 15, 2010). In addition, the Bankruptcy Appellate Panels in the First and Tenth Circuits have adopted this majority view. In re Griffey, 335 B.R. 166 (B.A.P. 10th Cir. 2005); In re Mann, 249 B.R. 831 (B.A.P. 1st Cir. 2000). Though the Eighth

Circuit Court of Appeals has not decided the issue, bankruptcy courts from every district, except the District of Minnesota, have adopted the majority position. See, e.g., In re Reed, 2011 WL 1045070 (Bky. D.S.D. Mar. 16, 2011); In re Krapfl, 2010 WL 4338475 (Bky. N.D. Iowa Oct. 27, 2010); Black v. Conseco Financial Servicing Corp., 260 B.R. 134 (Bankr. E.D. Ark. 2001); In re McCarron, 242 B.R. 479 (Bky. W.D. Mo. 2000); In re Sanders, 202 B.R. 479 (Bky. D. Neb. 1996); In re Mitchell, 177 B.R. 900 (Bky. E.D. Mo. 1994). In determining whether the anti-modification provision of section 1322(b)(2) applies, each of these courts properly began their analyses with the application of section 506(a). The Supreme Court in Nobelman makes clear that section 506(a) is essential to the preliminary determination of whether the anti-modification protections should be invoked at all.

Despite this weight of authority, bankruptcy courts in the District of Minnesota have repeatedly held that wholly unsecured junior mortgage may not be stripped off. See, e.g., In re Loban, 2010 WL 1292787 (Bky. D. Minn. Apr. 2, 2010); In re Frame, No. 09-41010 (Bky. D. Minn. Sept. 23, 2009); In re Hughes, 402 B.R. 325 (Bky. D. Minn. 2009); In re Mattson, 210 B.R. 157 (Bky. D. Minn. 1997). In this case, the court relied on the jurisprudence of the district, to deny confirmation of the Debtor's plan, which included a provision to strip the wholly unsecured second and third mortgages. See Transcript of Confirmation Hearing,

No. 50, pp. 6-8 (Dec. 9, 2010); ("But you agree that the law of this jurisdiction clearly does not allow the debtor to strip second or third mortgage[sic] secured by a lien on the debtor's homestead.").

Contrary to the reasoning of the court below and of other cases from the bankruptcy courts in the District of Minnesota, the plain language of the statute and the Supreme Court's decision in Nobelman, support the debtor's right to strip off wholly unsecured mortgages.

The general rule set forth in section 1322(b)(2) is that a debtor's chapter 13 plan may "modify the rights of a holder of a secured claim." This general rule permitting modification of the rights of a holder of a secured claim is followed by a limited exception for secured claim holders whose claims are "secured only by a security interest in real property that is the debtor's principal residence." 11 U.S.C. § 1322(b)(2). Based on the plain language of the statute, the narrowly drawn language that follows the general rule and contains the anti-modification provision can apply only to a holder of a "secured claim." Thus, before reaching the question of whether the claim is "secured only by a security interest in real property that is the debtor's principal residence," the creditor must hold a secured claim. Zimmer, 313 F.3d at 1226-27.

The Supreme Court in Nobelman clearly recognized the need to turn to section 506(a) first to determine whether the creditor has a secured claim:

> Petitioners were correct in looking to § 506(a) for a judicial valuation of the collateral to determine the status of the bank's secured claim. It was permissible for petitioners to seek a valuation in proposing their Chapter 13 plan since § 506(a) states that '[s]uch value shall be determined…in conjunction with any hearing…on a plan affecting such creditor's interest. But even if we accept petitioners' valuation, the bank is still the 'holder' of a 'secured claim,' because petitioners' home retains $23,500 of value as collateral.
>
> Nobelman, 508 U.S. at 328-29.

CONCLUSION

First, Mr. Fisette asks that this court hold that a chapter 13 debtor may avoid, or "strip," a wholly unsecured junior mortgage from the debtor's residential real estate consistent with sections 506(a) and 1322(b)(2).

Second, Mr. Fisette asks that this court hold that he may do so in a chapter 13 case in which he is not eligible for a discharge by reason of section 1328(f).

Third, Mr. Fisette requests that in light of the foregoing, that this court reverse the order of the bankruptcy court denying confirmation of his originally filed chapter 13 plan, which provided that the two wholly unsecured junior mortgages upon his residential real estate were to be avoided and "stripped" upon completion of his payments under the plan.

Respectfully submitted,

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April 7, 2011

CERTIFICATE OF COMPLIANCE

1. This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g):

   ☒ this brief contains 2,642 words.

2. This brief complies with the typeface requirements of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirements of Fed. R. Bankr. P. 8015(a)(6) because:

   ☒ this brief has been prepared in a proportionally spaced typeface using Microsoft Word 2010 in 14-point Times New Roman roman type.

/s/ Craig W. Andresen
Attorney for Appellant Michael Fisette
Dated: April 7, 2011

CERTIFICATE OF SERVICE

I hereby certify that on April 7, 2011, I electronically filed the foregoing with the Clerk of the United States Bankruptcy Appellate Panel for the Eighth Circuit by using the CM/ECF system, which will send notification of such filing to all counsel of record.

I further certify that on the same date I served one paper copy of the foregoing by mail on the following persons who are not registered for electronic filing (L.R. BAP 8th Cir. 8014A(c)):

Bank of America Home Loans, PO Box 5170, Simi Valley, CA 93062-5170

Principal Bank, PO Box 587, Des Moines, IA 50304

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